THE PRIVATE INVESTMENT STALEMATE

DESPITE TAX CUTS AND OTHER INCENTIVES, MOST CORPORATES ARE SHYING AWAY FROM INVESTING IN NEW PROJECTS, WHICH THREATENS TO DERAIL INDIA'S ECONOMIC RECOVERY. HOW LONG WILL THE UNCERTAINTY LAST?

BY M.G. ARUN / *Illustration by* NILANJAN DAS



IN Indian mythology, Hanuman symbolises strength and absolute devotion to his master, Lord Rama. But he is also said to have been unaware of his own strength due to this unflinching loyalty. At a recent industry webinar, Union finance minister Nirmala Sitharaman evoked this analogy to ask Indian corporates why they weren't investing enough in new projects despite the government lowering corporate taxes and incentivising production through a multi-lakh crore subsidy scheme. "When countries and industries abroad think this (India) is the place to be in... stock market is also so confident, Indian retail investor believes in them... is it, like Hanuman, you do not believe in your capacity, in your own strength, and there has to be somebody standing next [to you] and saying, 'Hey, you are Hanuman, do it'. And who is that person to tell Hanuman? That certainly can't be the government," Sitharaman said on September 13.

The finance minister had her own reasons for her tirade against the private sector. Private investment, one of the pillars of economic growth, has been lacklustre for a long time, falling from 31 per cent of the GDP in 2011 to 22 per cent in 2020, according to World Bank estimates. Data since July 2019, from CEIC and Bank of Baroda Research, show that the number of industrial investment proposals fell